

## Multiple Choice

1. **Answer:** A

*Options:* A) An increase in unemployment rates; B) A decrease in government spending; C) A decrease in the supply of money; D) An increase in savings; E) An increase in interest rates

*Note:* Correct option: A - An increase in unemployment rates

2. **Answer:** D

*Options:* A) No, it is a principle that applies only to consumer choice in the market.; B) No, it is only applicable to the exchange of services, not goods.; C) Yes, it specifically applies to trade agreements between neighboring countries.; D) No, it applies wherever productive units have different relative efficiencies.; E) Yes, it only applies to international trade.

*Note:* Correct option: D - No, it applies wherever productive units have different relative efficiencies.

3. **Answer:** C

*Options:* A) Linearly increasing; B) Inverted U-shape; C) Horizontal; D) Upward sloping; E) Vertical

*Note:* Correct option: C - Horizontal

4. **Answer:** A

*Options:* A) not found by adding product demand curves horizontally or vertically; B) a vertical summation of market demand curves; C) found by adding product demand curves both horizontally and vertically; D) a horizontal subtraction of firm demand curves; E) a simple aggregation of demand curves for individual goods

*Note:* Correct option: A - not found by adding product demand curves horizontally or vertically

5. **Answer:** A

*Options:* A) Chicago school, Stiglitz; B) Marxist school, Minsky; C) Behavioral school, Akerlof; D) Neoclassical school, Friedman; E) Neoclassical school, Coase

*Note:* Correct option: A - Chicago school, Stiglitz

## True / False

6. **Answer:** True

*Options:* A) True; B) False

*Note:* LLM-generated true statement based on MCQ.

7. **Answer:** True  
*Options:* A) True; B) False  
*Note:* LLM-generated true statement based on MCQ.
8. **Answer:** False  
*Options:* A) True; B) False  
*Note:* LLM-generated false statement. Correct answer: 'exceeds maximum average total cost.'
9. **Answer:** False  
*Options:* A) True; B) False  
*Note:* LLM-generated false statement. Correct answer: 'reducing interest rates.'
10. **Answer:** False  
*Options:* A) True; B) False  
*Note:* LLM-generated false statement. Correct answer: 'the minimum of average total cost'.

## Long Form Response

11. **Answer:** Unit of account. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.  
*Note:* Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** MC intersects AVC and ATC at their average points.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.  
*Note:* Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

*End of Answer Key*